



**THE BIENNIAL WINGS INDIA** aviation show in Hyderabad serves as a showcase for Indian commercial airlines. It provides a good platform for visibility and networking among all stakeholders. In 2024, it went a step further and delivered a surprise.

In the 2024 edition of the event, Akasa Air, a two-year-old start-up, stunned the industry by placing an order for 150 Boeing 737 MAX aircraft worth \$20 billion—the largest order ever placed by a fledgling airline in the country. The move propelled the airline—barely out of infancy—into the front ranks of global buyers, marking

of baggage, as was the case with GoAir, which closed operations in 2023, and SpiceJet, hobbled by headwinds, ensured that it had a relatively smooth passage to becoming the third-largest player in a market dominated by the big two—IndiGo and Air India—that command around 90% market share.

The airline's leadership echoes this optimism. "Aviation here is entering a golden era. While the industry has been perceived as risky in the past, we are now at the forefront of maturity," aviation veteran Vinay Dubey, the Chief Executive Officer of Akasa Air, tells *Business Today*.

Manoj Jaiswal, Partner—Industrials & Buyouts, Premji Invest, the family office of Azim Premji that has an evergreen pool of capital and manages \$14-15 billion, says the Indian aviation industry has strong growth potential, domestically and beyond. "Team Akasa is brilliantly positioned to execute on this opportunity."

Industry watchers agree. "Akasa has been able to raise money from credible investors. The fact that the airline has attracted fresh investment is perhaps the best sign yet of how the perception of this sector is shifting," says Kanika Tekriwal, co-founder of JetSetGo, the country's largest operator of private jets and helicopters.

What surprised the industry was that the two new investors, Premji Invest and Claypond Capital—the family office of Dr Ranjan Pai, who part-owns Manipal Hospitals and several educational institutions—are usually conservative in funding new ventures.

## **AKASA'S UNIT ECONOMICS ARE MOVING IN THE RIGHT DIRECTION: MORE REVENUE PER SEAT AND STRONGER OPERATING MARGINS. BUT ABSOLUTE LOSSES HAVE WIDENED**

the level India's newest carrier had set for itself.

Akasa is perhaps the first airline to be funded by private investment, unlike its predecessors, which relied on bank lending. In its latest round, the airline secured ₹1,200 crore (\$125 million) from three new investors—Premji Invest, Claypond Capital, and 360 ONE Asset—alongside existing backers, including the late Rakesh Jhunjhunwala's family. Their decision to double down shows a growing conviction that Indian aviation, long seen as a graveyard for airlines, may finally be entering a more sustainable phase.

Passenger traffic rose above pre-pandemic levels in 2023 and has been rising steadily since. Akasa's launch in 2022 seems to have been timed just right. Its lack

Dubey says investors see the same opportunity that the airline does: A country of 1.4 billion people with only 600–700 commercial aircraft, compared to 7,500 in the US. Analysts say that following the funding, the airline's valuation has grown to around \$500 million, which is quite notable for a three-year-old carrier.

Praveen Iyer, Co-Founder and Chief Commercial Officer of Akasa Air, offers a different perspective on the record aircraft order. "We believe that while the aviation industry is witnessing record aircraft orders, growth must be disciplined, sustainable, and aligned with real demand." He says Akasa's growth strategy has always been guided by discipline, foresight, and a focus on creating long-term value.